**CREDITACCESS GRAMEEN LIMITED**

**Guidelines on Fair Practices Code for NBFC-MFIs and Ombudsman for NBFC**

## Revision History

| Version | Author | Description of Changes | Release Date |
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| 1 | CAO | First version | 28-05-2007 |
| 2 | CAO | Amendments under Loan Agreement Norms<br><br>Amendments under Internal Control System | 21-12-2021 |
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**CREDITACCESS GRAMEEN LIMITED**

**Guidelines on Fair Practices Code for NBFC-MFIs and Ombudsman for NBFC**

CreditAccess Grameen Limited ('the Company') has been extending Microfinance through JLG model for income generation activities and other requirements like Water and Sanitation, Education, Festivals, Medical, Home Improvement, Emergency etc. to the poor & low-income households. The company also extends individual loans for business expansion, home improvement and for purchase of vehicles. The company is governed by balanced team of learned, experienced practitioners and professionals. To bring total transparency in the working of the Company the following 'Code of Fair Practices' are recommended to be adopted by the Board.

**Loan Applications and processing**

1. We shall communicate with all our members/ borrowers in the respective local / official languages of the states concerned or a language as understood by the borrower.

2. We shall collect all necessary documents from borrowers to comply with KYC norms of Reserve Bank of India.

3. We shall provide all necessary details of the loan product along with terms and conditions before taking the loan application.

4. The product details and terms & conditions shall be displayed on our website and branch premises prominently.

5. The loan application shall contain list of documents required for availing the loan.

6. For Group lending loans, we shall record and acknowledge all loan applications received in the minute books maintained at the Groups/Kendra's on the day of such applications.

7. For Retail finance loans, we shall provide an acknowledgement to customers for loan application received.

8. We shall dispose of all the loan applications within 3 weeks from the date of loan application.

**Loan Appraisal and terms/conditions**

1. We shall train and equip all our Kendra Managers/ Relationship Officers to conduct proper due diligence to understand the repayment capacity of the borrower and the details of existing debt if any so that the loan sanctioned is adequate for the purpose and repayable without much strain to the borrower.

2. We shall obtain credit bureau report for all loan applications to get details of the existing debt of the borrower. We shall make informed decision on sanction of loans to borrowers based on credit bureau report.

3. The Loan amount sanctioned along with the detailed terms and conditions shall be communicated to borrower by means of a sanction letter in local / official language and keep the acceptance of these terms and conditions by the borrower on record at the branches.

**The Loan agreement shall encompass the following details;**

1. The interest rate to be charged on annualized basis, method of application thereof, the processing fee charged and the insurance premium applicable for member and spouse life cover.

2. We shall always adopt interest rate model considering relevant factors such as cost of funds, margin and risk premium, regulatory cap etc., duly approved from Board. We shall disclose rate of interest for different set of products through formal communications, display in all our office premises and our website. We shall communicate the rate of interest explicitly in the sanction letter.

3. The rate of interest and the approach for gradations of risk and rationale for charging different rate of interest to different categories of borrowers in retail finance shall be disclosed to the borrower in the application form and communicated explicitly in the sanction letter.

4. We shall not levy any penal rate of interest on delayed payment, pre-payment charges to Group lending borrowers and shall not stipulate any Security Deposit/ Margin.

5. We shall stipulate that the borrower must not be a member of more than one SHG/JLG.

6. We shall provide a minimum moratorium of one instalment between the grant of loan and due date of the first instalment.

   We shall assure the privacy of borrower's data except for sharing the same with all Industry Associations, Credit Bureau, Lenders to the company and any statutory/regulatory/rating agencies.

7. Loan Agreement shall include the decision to recall / accelerate the repayment whenever the borrower commits a gross deviation of any of the terms and conditions of the loan.

8. Loan Agreement shall also contain a clause to release all securities and repayment of all dues or on realization of the outstanding amount of loan subject to any legitimate right or lien for any other claim we may have against the borrower. Under such conditions when the right of set off is to be exercised, we shall serve a notice period of 7 days about the same with full particulars about the remaining claims and the conditions under which we are entitled to retain the securities till the relevant claim is settled/ paid.

9. We shall declare our accountability for any inappropriate staff behavior and timely Grievance Redressal of the borrowers. Grievance redressal channels shall be available on the loan cards issued to the borrowers, as well as displayed at all CAGL branches.

10. We shall give options of repayment frequency to all customers to choose between weekly, biweekly, or monthly depending on their cash flow.

11. In addition to the loan sanction letter and passbook, a copy of the Loan agreement shall be made available to the borrowers.

**Disbursement of Loans**

1. We shall serve notice to borrowers in local language of any change/s in terms and conditions including disbursement schedule, interest rates, service charges, prepayment charges etc. We shall also effect such changes only prospectively.

2. We shall organize all sanctioning and disbursement of loans to happen at the branch location and more than one official shall be involved in this function. We shall have close supervision of the disbursement function by our senior officials and monitoring teams through random checks.

3. We shall issue loan card containing following information.

   i. Borrower's identity and the relevant information.
   ii. Annualized rate of interest charged, loan tenure, instalment amount, processing fees and applicable insurance premium, if any.
   iii. We shall detail non-credit products wherever applicable and obtain consent of the borrowers
   iv. Salient terms and conditions of the loan.
   v. Our acknowledgements for the repayments including installments received and final discharge.
   vi. We shall prominently display our Grievance Redressal System including the Toll-free number, e-mail id and name of the nodal officer apart from Branch address and telephone number of the branch.

**Non-Coercive Methods of Recovery**

1. We shall collect all our recoveries at the central designated place namely Kendra Meetings. Only in case the borrower fails to attend Kendra Meeting on 2 or more occasions and also fails to repay, our field staff shall visit to the place of residence or place work of the borrower for recovery.

2. We shall ensure that a uniform systems and procedure approved by Board as a policy in the matter of staff recruitment, training and supervision. Our policy shall be to train field staff through training programs to inculcate appropriate behavior towards borrowers without adopting any abusive or coercive debt collection / recovery practices.

3. Weshall have a policy of appraisal of field staff, where the compliance of code of conduct and customer satisfaction shall be the parameters for appropriate compensation.

4. We shall initiate necessary disciplinary action against staff who abuses any of the items under Code of conduct.

5. We shall not engage/outsource any recovery agents for recovery.

**General**

1. We shall refrain from interference in the affairs of the borrower/ member except for the purposes

provided in the terms and conditions of the loan agreement (unless the borrower/member declared/ disclosed earlier false information which comes to our notice on a later date).

2. We shall oblige the request for transfer of borrower account, the consent or otherwise i.e. objection of the NBFC, if any, and shall be conveyed within 21 days from the date of receipt of request. Such transfer shall be as per transparent contractual terms in consonance with law.

3. We shall lay down effective Grievance Redressal Mechanism by way of installing complaint boxes at all our offices, arrange for the Toll-Free Number and designate a senior level officer as Grievance Redressal Officer. We shall provide the telephone no. of the Grievance Redressal offices being set up by state associations and / or SRO.

4. We shall provide 5 days' time to redress grievance of any member at the branch level failing which the borrower will escalate the matter through the Tollfree number to Grievance Redressal Cell at Head Office which shall resolve the grievance within 7 days. If the borrower does not receive any response from the Company or customer remains dissatisfied with the replyof the Company, he / she can escalate the matter to the Office of NBFC Ombudsman by followingthe procedure as provided under Ombudsman Scheme for Non-Banking Financial Companies, 2018. The Salient Features of the said Scheme are provided at Annexure I.
5. We shall display our Fair Practices Code in local languages in all our office premises. Also, the following informative displays shall be organized at branches and/or our web site;

    i. Loan products with salient features
    ii. Dos and don'ts for field staffs.
    iii. Grievance Redressal Mechanism detailing Branch Manager's name and contact number, Area Manager's name and contact number, Toll Free number and nodal officer designation, Ombudsman's address and contact number and availability of complaints box.
    iv. Industry Code of conduct
    v. We shall bring out a statement in local language articulating our commitment to transparency and Fair Lending Practices and the same shall be displayed in the office premises and loan cards.

6. We shall provide training and refresher courses to all our members/ borrowers at annual interval at free of cost so as to bring about the awareness of all the changes that might have occurred during the period. We shall train our field staff to enable them to render such training to borrowers. Also, we shall cover a minimum of 3% of our borrowers/ members to be contacted to study the borrowers' feelings about our systems and procedures, quality of loan products andany other deficiencies so as to bring about necessary changes for their utmost convenience.

7. Our field staffs shall not call on the borrowers before 6 am and after 8 pm and shall not visit their residence or workplace on days of festival, marriage etc., or any mourning occasions for the purpose of recovery.

8. We shall ensure that the procedure for application of loan is not cumbersome and loan disbursements are made as per pre-determined time schedule driven through the well-defined process.

9. The details of insurance product, the terms and conditions of the policy, claim settlement, nomination, etc. shall be advised in detail in local language and necessary consent is obtained from the applicant.

**Internal Control System**

**Periodical review of compliance to fair practices code and grievance redressal system**

1. We shall incorporate verification and checks for compliance of all the practices through the specific designed officials in the hierarchy and through effective internal audit/ periodical inspections.

2. Management will ensure to submit a note to the board on annual basis on review of compliance to fair practices code and functioning of grievance redressal system at various levels of management.

3. Internal audit shall review the implementation of fair practice code and effectiveness of grievance redressal system during branch audits.

4. The functioning of grievance redressal system shall be reviewed by internal audit at HO on quarterly basis.

5. Internal audit shall furnish feedback on the same to the Audit Committee at Quarterly intervals.

**Annexure I**

## Salient Features of Ombudsman Scheme for Non-Banking Financial Companies, 2018

In case of grievance, the customer may prefer a written complaint with the regional office of the Company, in respect of the following, provided the matter is not referred to any court or forum:

- Not conveyed the amount of loan sanctioned, terms & conditions, annualized rate of interest, etc. Notice not provided for changes in agreement, levy of charges
- Failure to ensure transparency in contract/loan agreement
- Failure/ Delay in releasing securities/ documents
- Failure to provide legally enforceable built-in repossession in contract/ loan agreement
- RBI directives not followed by the Company
- Guidelines on Fair Practices Code not followed

If reply is not received from the Company within one month; or the customer remains dissatisfied with the reply, the customer may file a complaint with NBFC Ombudsman, not later than one year after the reply from the Company.

**How does Ombudsman take decision?**

- Proceedings before Ombudsman are summary in nature
- Promotes settlement through conciliation.
- If not reached, Ombudsman can issue Award/Order

If customer is not satisfied with the decision of Ombudsman, he may prefer an appeal with the Appellate Authority namely Deputy Governor, RBI. This is an Alternate Dispute Resolution Mechanism, and the customer is at liberty to approach any other court/forum/authority for the redressal at any stage.

**Name and address of the NBFC Ombudsman are given below:**

| Sl. No. | Centre | Address of the Office of NBFC Ombudsman | Area of Operation |
|---|---|---|---|
| 1 | Chennai | C/o Reserve Bank of India<br>Fort Glacis, Chennai 600 001<br>Telephone No.: 044-25395964<br>Fax No.: 25395488<br>Email: cms.nbfcochennai@rbi.org.in | Tamil Nadu, Andaman and Nicobar Islands, Karnataka, Andhra Pradesh, Telangana, Kerala, Union Territory of Lakshadweep and Union Territory of Puducherry |
| 2 | Mumbai | C/o Reserve Bank of India<br>RBI Byculla Office Building<br>Opp. Mumbai Central Railway Station<br>Byculla Mumbai-400 008<br>Telephone No.: 022-2300 1280<br>Fax No.: 23022024<br>Email: cms.nbfcomumbai@rbi.org.in | Maharashtra, Goa, Gujarat, Madhya Pradesh, Chhattisgarh, Union Territories of Dadra and Nagar Haveli, Daman and Diu |

| | | | |
|---|---|---|---|
| 3 | New Delhi | C/o Reserve Bank of India<br>Sansad Marg, New Delhi -110001<br>Telephone No: 011-23724856<br>Fax No.: 23725218-19<br>Email: cms.nbfconewdelhi@rbi.org.in | Delhi, Uttar Pradesh, Uttarakhand, Haryana, Punjab, Union Territory of Chandigarh Himachal Pradesh, and Rajasthan and State of Jammu and Kashmir |
| 4 | Kolkata | C/o Reserve Bank of India<br>15, Netaji Subhash Road<br>Kolkata-700 001<br>STD Code: 033<br>Telephone No.: 22304982<br>Fax No.: 22305899<br>Email: cms.nbfcokolkata@rbi.org.in | West Bengal, Sikkim, Odisha, Assam, Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Nagaland, Tripura, Bihar and Jharkhand |